

Patagonia: Sustainability as Strategy — 'Earth Is Now Our Only Shareholder'

Key Facts

Company	Patagonia, Inc.
Industry	Outdoor Clothing and Sports Equipment
Founded	1973 — Yvon Chouinard
Headquarters	Ventura, California
Revenue	Over \$1 billion annually

Executive Summary

In September 2022, Yvon Chouinard — Patagonia's 83-year-old founder — made one of the boldest family-business decisions in modern history: he gave the company away entirely. Not by selling it. Not by taking it public. But by transferring 100% of the voting stock (worth \$3 billion) to a nonprofit trust dedicated to protecting the environment and fighting climate change. All of the company's future profits — about \$100 million a year — would go to "saving the planet." The company's new tagline: "Earth is now our only shareholder."

This decision was not a sudden leap but the culmination of fifty years of environmental activism woven into the company's DNA. In 1985, Patagonia began donating 1% of its sales to environmental organizations. In 2011, it launched the famous "Don't Buy This Jacket" Black Friday campaign — a call for conscious consumption instead of overconsumption. In 2017, it sued President Trump to protect national monuments in Utah. All these "commercially insane" stances built a brand with customer loyalty exceeding any traditional clothing company.

The model Patagonia offers challenges capitalism's core assumption: that a company's only purpose is to maximize shareholder profits. Instead, Patagonia proves that profitability and sustainability are not opposed — sustainability is the most effective long-term profitability strategy. Customers pay a price premium because they believe in the mission.

Discussion Questions

- Is Patagonia's model applicable outside the outdoor-clothing industry? Can a software or consulting company adopt the same philosophy?

- How do you measure the return on investment in sustainability when the "impact" is non-financial?
- Can a public company adopt Patagonia's model, or does quarterly market pressure make that impossible?